

New Horizons CES S3

CONDENSED STUDY NOTES

 Pass Edition — Key Points Only

Yellow Highlights • Data tables • Answers in Question Sheets

MODULE 3.1: Economy & World Trade 經濟與世界貿易概覽

LP1–3: China's Economy, Policies & Livelihood

4 Economic Indicators 四大指標

- **GDP↑** = economy SIZE growing | **Per capita GDP↑** = average INCOME rising
- **Unemployment rate stable** = employment steady | **Inflation ~1–3%** = low and stable

Industrial Structure 工業結構 (since reform & opening-up)

- **Primary & secondary industry** GDP share: gradually **DECREASING ↓**
- **Tertiary industry** GDP share: gradually **INCREASING ↑** | Labour force: more in tertiary

Economic Systems 經濟制度

- **Planned 計劃**: public ownership, central control | **Market 市場**: private, market-guided
- **Socialist market economy 社市**: proposed 14th CPC Congress Oct 1992; Constitution 29 Mar 1993

Macroeconomic Regulation 宏觀調控

- **NDRC 發改委**: economic development policies; Five-Year Plans
- **Ministry of Finance 財政部**: financial affairs; taxation
- **People's Bank 人民銀行**: CENTRAL BANK; financial industry reform

Greater Bay Area 大灣區

- Scope: **Guangdong + HK + Macao** | Goal: international first-class bay area 一流灣區
- 7 focuses (any 2): innovation hub; modern industry; ecological conservation; living circle; infrastructure; cooperation platforms; BRI
- HK role: leverage advantages as **financial, shipping, trade centre**; hub connecting China to world

Livelihood & Poverty 民生與扶貧

- **Work**: rural→cities; new occupations | **Accommodation**: rural reconstruction; urban rental housing
- **Consumption**: subsistence → development/enjoyment; online shopping
- **Healthcare**: smart healthcare; solved 'difficulty getting medical treatment'
- **Poverty goal**: 'moderately prosperous society in all respects' | Criteria: One Income + Two Assurances & Three Guarantees
- **2020**: task of eradicating ABSOLUTE POVERTY completed ✓

A. Trade Basics 貿易基礎

Types of Trade 貿易類型

- **Visible Trade 有形貿易** = physical goods 實物 (e.g. exporting cars, electronics)
- **Invisible Trade 無形貿易** = services 服務 (e.g. banking 銀行, tourism 旅遊)
- **Export Trade 出口貿易** = selling goods/services TO other countries
- **Import Trade 進口貿易** = buying goods/services FROM other countries
- **Re-export Trade 轉口貿易** = re-selling imported goods (HK is famous for this!)

Why trade? Countries have different resources. **Specialised production 專門生產** = produce at lowest cost → export surplus → import what you lack.

Advantages ✓ vs Challenges ✗

- ✓ More **production efficiency 生產效益**
- ✓ More **consumer choices 消費者選擇**
- ✓ More **employment 就業機會**
- ✓ Promotes **economic development 促進經濟發展**
- ✗ **Unemployment crisis 失業** in non-advantageous industries
- ✗ Less competitive sectors **displaced 弱勢行業被取代**
- ✗ **Unfair trade 不公平貿易** harms weaker/developing countries

Knowledge Check

1. What is the difference between visible and invisible trade? Give ONE example each. (Short Q)

2. State TWO advantages of world trade. (Short Q)

3. Fill in: Export trade = selling ____ to other countries; Import trade = buying ____ from other countries.

4. MC: Which type of trade is HK famous for? A) Export B) Import C) Re-export D) Embargo

B. External Trade: Mainland & HK 中港對外貿易

Mainland China 內地 — Key Facts

- **World's LARGEST merchandise trade exporter (2023)** — USD 3,379.04 billion
- 5th largest exporter of **business services 商業服務**
- Signed **22 FTAs 自由貿易協定**; 11 under negotiation
- **RCEP (2020)** = World's largest free trade area (15 countries)

- FTZs 自由貿易區 inside China (since 2013) = goods enter/exit tariff 關稅-free

China Export Values 2023

Category 類別	Value (USD Billion) 金額 (十億美元)	Rank 排名
Merchandise exports 商品出口	3,379.04	No. 1 globally 全球第一
Business services 商業服務出口	~380	No. 5 globally 全球第五
Total trade growth (2022→2023)	+0.5%	Stable growth 穩步增長

Hong Kong 香港 — Key Facts

- Trading & Logistics = 1st Economic Pillar 第一經濟支柱 (22.5% GDP; ~591,200 jobs, 2022)
- HKIA = No. 1 world cargo throughput 貨物吞吐量 (4.3 million tonnes, 2023)
- 10th largest container port 集裝箱港 (2023)
- CEPA 更緊密經貿關係安排 with Mainland (2003): preferential access 優惠待遇
- HK major trading partner: Mainland China (49.2% of HK trade in 2023)

HK Major Export Markets 2023

Market 市場	Share % 比重	Notes 備注
Mainland China 中國內地	55.5%	Largest market 最大市場
ASEAN 東盟	14.1%	2nd largest 第二大
EU 歐盟	7.9%	3rd largest 第三大
United States 美國	6.6%	4th largest 第四大
India 印度	4.0%	Growing market 增長中
Taiwan 台灣	3.3%	—
Japan 日本	2.1%	—
Others 其他	6.5%	—

3 Major Challenges 挑戰

- ① Global trade slowdown 全球貿易放緩 (COVID-19; HK trade -2.5% in 2020; China exports -11.4% Q1 2020)
- ② Global political instability 政局不穩 (Russia-Ukraine War → wheat/energy prices ↑)
- ③ Trade protectionism 貿易保護主義 (tariffs, quotas; de-Chinaisation 去中國化)

Knowledge Check

1. What is the ranking of Trading & Logistics in HK's economic pillars? (MC)

2. State TWO opportunities for HK in world trade. (Short Q)

3. Fill in: CEPA was signed in _____ between Mainland and HK.

4. State ONE challenge to external trade of Mainland and HK. Explain briefly. (Short Q)

C. Trade Protection 貿易保護

5 Types of Trade Protection 五種貿易保護手段

- ① **Export Subsidies 出口補貼** : Cash to exporters → lower export prices → more competitive
- ② **Import Duties 進口關稅** : Tax on imports → imports expensive → consumers buy local
- ③ **Import Quota 進口配額** : Limit on QUANTITY of imports → stops flooding of market
- ④ **Import Restrictions 進口限制** : Rules/standards on imports (food safety, environment)
- ⑤ **Embargo 禁運** : COMPLETE ban on importing specific goods (political reasons)

3 Reasons for Trade Protection 實施理由

- **Protecting local industries 保護本地工業** : Prevent cheaper imports wiping out local production
- **Protecting employment 保護就業** : Prevent job losses from failing local industries
- **Economic sanctions 經濟制裁** : Political tool (UN on North Korea; US/EU on Russia 2022)

3 Ways to Deal with Protectionism 處理方法

- ① **Negotiation 談判** : Bilateral 雙邊 (2 countries) or Multilateral 多邊 (3+); via WTO
- ② **Good foreign relations 外交關係** : Expand new markets, reduce conflicts
- ③ **Expand domestic demand 擴大內需** : Boost local market to reduce reliance on trade

WTO Fact 世貿	Detail 詳情
Founded 成立	1995 (replaced GATT 1948)
Members 成員國	164 countries (as of 2023)
HQ 總部	Geneva, Switzerland 瑞士日內瓦
China joined 中國加入	2001
China tariff reduction	15.3% → 7.4% (below 10% WTO commitment)
HK status	Founding member as 'Hong Kong, China'

WTO/GATT Member Countries Growth

Year 年份	Members 成員國數目	Notes 備注
1948 (GATT founded)	23	Original members
1970	71	Post-decolonisation growth
1990	99	Cold War ended
1995 (WTO founded)	128	Replaced GATT
2001	143	China joined 中國加入
2010	153	—
2023	164	Current 現時

Knowledge Check

1. Name THREE types of trade protection policies. (Short Q)

2. What is an embargo 禁運? Give ONE example. (Short Q)

3. Match: Export Subsidies / Embargo / Import Quota → Complete ban / Cash to exporters / Limit on quantity

4. Fill in: The WTO was established in _____ and has _____ member states as of 2023.

5. Why might a country use trade protection? State ONE reason. (Short Q)

D. Trade Conflicts & Economic Security 貿易衝突與經濟安全

4 Impacts of Trade Conflicts 四大影響

- ① **Reduces imports & exports 減少進出口** : trade volume drops; logistics 物流 industry affected
- ② **Lowers product competitiveness 降低競爭力** : higher tariffs → higher costs → enterprises relocate
- ③ **Increases investment risk 投資風險↑** : lowers investor confidence 投資者信心, stock market 股市 falls
- ④ **Raises consumer goods costs 消費品貴** : passed to consumers

Economic Security 經濟安全 — Why important?

- Ensures **multilateral cooperation 多邊合作** — promote trade liberalisation 貿易自由化
- Increases **economic strength 增強實力** — diversify 多元化 industries, face risks better
- **'Development and Security go hand in hand' 發展與安全並重**

 Key Trade Conflict Events Timeline		
Year 年份	Event 事件	Impact on Trade 貿易影響
2018	US-China trade conflict 美中貿易摩擦	US imposed tariffs → enterprises relocated to other countries (de-Chinatisation)
2020	COVID-19 pandemic 新冠疫情	HK trade -2.5%; China exports -11.4% (Q1)
2022	Russia-Ukraine War 俄烏戰爭	Global supply chains disrupted; inflation spreads
2022	US/EU sanctions on Russia	Global supply chain 供應鏈 disruption worsens
2023	Italy withdraws from BRI	Trade skepticism grows among Western nations

 **Knowledge Check**

1. State TWO impacts of trade conflicts on China's economy. (Short Q)

2. What is economic security 經濟安全? (Short Q)

3. MC: Which industry is most directly affected when trade volume drops? A) Health B) Transport & Logistics C) Education D) Entertainment

4. Fill in: Trade conflicts undermine investor _____, leading to stock market decline.

5. Case Study mini: If US imposes import tariff on Chinese goods, state ONE impact on China. (Short Q)

MODULE 3.2: Political Structure & International Affairs 政治架構及國際事務

A. Central State Institutions 中央國家機構

The Constitution 憲法 — Fundamental Law 根本大法

• Has the HIGHEST legal effect 最高法律效力 in China — all laws must comply with it

• Stipulates: state structure, duties of institutions, citizens' rights/obligations, national symbols

• Central state institutions defined in Chapter III 第三章 of the Constitution

Institution 機構	Status 地位	Key Powers 主要職能
NPC 全國人大	HIGHEST state organ of power 最高國家權力機關	Legislate, supervise, appoint, decide major issues
President 國家主席	Head of state 國家元首	Promulgate laws, manage foreign affairs, appoint Premier
State Council 國務院	HIGHEST administrative organ 最高行政機關	Implement plans, manage economy, education, foreign affairs
CMC 中央軍委	HIGHEST military leadership 最高軍事機關	Command armed forces, decide military strategy
NCS 國家監察委員會	HIGHEST supervisory organ 最高監察機關	Anti-corruption, investigate duty-related crimes
Supreme People's Court 最高人民法院	HIGHEST adjudicatory organ 最高審判機關	Adjudicate cases, judicial interpretations
Supreme People's Procuratorate 最高人民檢察院	HIGHEST procuratorial organ 最高檢察機關	Investigate crimes, approve arrests, public prosecution

NPC Key Facts 人大重點

• All 6 other institutions created by NPC and accountable to NPC 向人大負責

• Permanent organ: NPCSC 全國人大常委會 (acts when NPC not in session 閉幕期間)

• Term: 5 years; Sessions: once a year

• 4 Powers: Legislative 立法 / Supervisory 監督 / Decide major issues / Appointment & removal 任免

• President eligibility: PRC citizen, aged 45+, right to vote/stand

 Knowledge Check

1. What is the status of the NPC? (MC/Short Q)

2. Name THREE central state institutions and their status. (Short Q)

3. Match: CMC / NCS / State Council → Highest admin organ / Highest military / Highest supervisory

4. Fill in: The NPC has a term of _____ years and sessions are held _____ a year.

5. What is the role of the NPCSC when the NPC is not in session? (Short Q)

B. CPC & Multiparty System 中共與多黨制度

CPC Leadership Role 中共領導角色

- CPC = **SUPREME leadership** 最高領導 of PRC
- Constitution: 'Leadership by CPC is defining feature of socialism with Chinese characteristics'
- General Secretary 總書記 = highest CPC leader (currently **Xi Jinping** 習近平, since 2012)
- CPC National Congress: held every **5 years**; CPC membership (2022): **98.041 million** 黨員

Multiparty System 多黨合作制

- CPC = only **governing party** 執政黨
- 8 other parties = **participating parties** 參政黨 (NOT opposition! 非反對黨)
- Cooperation principle: '**Long-term coexistence** 長期共存, **mutual oversight** 互相監督, sincerity 肝膽相照, sharing rough and smooth 榮辱與共'
- **CPPCC** 中國人民政治協商會議 = organisational form of political consultation 政治協商

The 8 Participating Parties 參政黨	Founded 成立
China Zhi Gong Party 致公黨	1925
Chinese Peasants & Workers Democratic Party 農工民主黨	1930
China Democratic League 民盟	1941
China National Democratic Construction Association 民建	1945
China Association for Promoting Democracy 民進	1945
Jiusan Society 九三學社	1946
Taiwan Democratic Self-Government League 台盟	1947
Revolutionary Committee of the Chinese Kuomintang 民革	1948

CPPCC Functions 政協三大職能

- ① **Political consultation** 政治協商 : consult on policies BEFORE decisions are made
- ② **Democratic supervision** 民主監督 : supervise implementation of Constitution, laws, policies
- ③ **Participation in state affairs** 參政議政 : submit opinions, proposals, recommendations

Knowledge Check

1. What is the role of the CPC in China? (Short Q)

2. Difference between CPC and the 8 other parties? (Short Q)

3. Name TWO functions of the CPPCC. (Short Q)

4. Fill in: The basic cooperation principle: 'long-term _____, mutual _____, sincerity, sharing rough and smooth.'

5. MC: CPPCC is the organisational form of: A) military command B) legislative power C) political consultation D) judicial supervision

C. Foreign Policy 外交政策 & Belt and Road Initiative 一帶一路

Five Principles of Peaceful Coexistence 和平共處五項原則

- Proposed by Premier **Zhou Enlai 周恩來** in 1953; now fundamental principles of international law
- ① Mutual respect for sovereignty & territorial integrity **互相尊重主權和領土完整**
- ② Mutual non-aggression **互不侵犯**
- ③ Non-interference in internal affairs **互不干涉內政**
- ④ Equality and mutual benefit **平等互利**
- ⑤ Peaceful coexistence **和平共處**

Foreign Policy Evolution 外交政策演變

- 1953: **Five Principles** (protecting sovereignty of newly independent developing nations)
- 1984 Reform era: **Peace and Development 和平與發展** (stable environment for modernisation)
- 21st century: **Community with a shared future for humankind 人類命運共同體** (major-country diplomacy 大國外交)

Belt and Road Initiative (BRI) 一帶一路

BRI Quick Facts 一帶一路速覽

- Proposed by: **President Xi Jinping 習近平** in 2013
- Full name: **Silk Road Economic Belt 絲綢之路經濟帶** + **21st Century Maritime Silk Road 21世紀海上絲綢之路**
- Spans: **Asia, Europe, Africa 亞歐非** — 66 countries, ~4.4 billion people, ~USD 21 trillion
- Framework: **6 Corridors, 6 Routes, Multiple Countries & Ports 六廊六路多國多港**
- As of Aug 2023: **152 countries + 32 international organisations** signed cooperation agreements

Key Focus 重點	What it means / Examples
① Policy Coordination	Plan cooperation, solve issues, policy support
② Facilities Connectivity	Railways, highways, ports, airports
③ Unimpeded Trade	Remove trade barriers, build free trade zones
④ Financial Integration	Monetary coordination, financial cooperation
⑤ People-to-people Bonds	Cultural, educational, tourism exchanges

China–BRI Countries Trade Volume

Year 年份	Trade Volume 貿易額 (RMB trillion)	Growth % 增長率	% of China's Total Trade
2021	16.0	—	~44%
2022	17.5	+9.4%	~45%
2023	19.5	+2.8%	46.6%

BRI Opportunities 機遇 vs Challenges 挑戰

- **Opportunity ① Foreign relations** : 152 countries signed; BRI in UN, G20, SCO documents

- **Opportunity ② Resource security 資源安全** : overland pipelines bypass Strait of Malacca 馬六甲海峽 / Strait of Hormuz 霍爾木茲海峽
- **Opportunity ③ Military security** : Gulf of Aden 亞丁灣 escort missions since Dec 2008; 45 batches, 35,000+ personnel, 7,200+ vessels
- **Opportunity ④ Economic development** : RMB 19.5 trillion BRI trade (46.6% of total foreign trade, 2023); Jakarta-Bandung HSR: first HSR outside China (Oct 2023); China-Europe Railway: 77,000+ trains, 217 cities; Gulf of Aden: 45 batches, 35,000+ personnel, 7,200+ vessels; silway: 77,000+ trains
- **Challenge ① Italy withdrew Dec 2023** : no significant economic benefits; trade deficit >€40bn with China
- **Challenge ② Debt pressure 債務壓力** : developing countries struggle to repay BRI loans

Gulf of Aden Escort Missions

Metric 指標	Figure 數字	Notes 備注
Task force batches sent 出動批次	45	Since Dec 2008
Military personnel deployed 部署人員	35,000+	Cumulative total
Vessels escorted 護航船隻	7,200+	Chinese + foreign ships
Countries benefited	100+	Including non-BRI nations

Knowledge Check

1. Who proposed the BRI, and when? (MC/Short Q)

2. Name TWO of the Five Key Focuses (Five Connectivities). (Short Q)

3. State ONE way BRI strengthens resource security for China. (Short Q)

4. Fill in: As of August 2023, _____ countries signed BRI cooperation agreements with China.

5. State ONE opportunity and ONE challenge brought by BRI to China. (Short Q)

6. Case Study: Italy withdrew from BRI in 2023. State ONE reason. What should China do to respond? (Short Q)